



assesses current economic data, such as the rate of unemployment, the growth of Gross Domestic Product (GDP), and inflation. The Bank also collects data from around the UK through its 12 agencies stationed in Scotland, Northern Ireland, Wales, and the regions of England. These agencies act as the bank's "eyes and ears", gathering information on business conditions across the United Kingdom.

Interest rate decisions are made by the Bank's Monetary Policy Committee (MPC), and these are announced on a monthly basis, always at 12 noon on a Thursday. The MPC also releases forecasts on inflation and growth in its Inflation Report, published four times a year, in February, May, August, and November. These projections form the basis for decisions concerning interest rate changes.

If the economy is sluggish, the Bank of England will lower interest rates to encourage spending and to stimulate the economy. If the economy is in danger of growing too rapidly, potentially resulting in higher inflation, the Bank of England will increase interest rates to make borrowing more expensive and dampen spending activity. As part of its decision-making, the Bank must also factor in the government's stated aim of limiting inflation to 2 per cent.

Quantitative easing

When officially lowering the interest rate is still not enough to stimulate growth in the economy, the Bank of England can implement a monetary policy called quantitative easing (QE) to further influence interest rates. In quantitative easing, the Bank creates new money electronically (rather than printing banknotes) and uses it to buy government bonds. This has the effect of raising the price of government bonds, which reduces the yield or interest rate payable to investors. Reduced interest rates encourage businesses to borrow more. They, in turn, spend more and employ more staff, thereby boosting the economy.

BANK OF ENGLAND ACTIVITY

Introduction of polymer notes

In September 2016, the Bank of England introduced a £5 polymer note, printed on thin plastic film, marking the beginning of the end for paper banknotes in the UK. The old paper £5 ceases to be legal tender on 5 May 2017. New £10 and £20 polymer notes are both due for release in England and Wales by 2020. The three Scottish issuing banks will also print their new notes on polymer. Because polymer has greater durability, as well as more resistance to moisture and dirt, notes will last up to two and a half times longer. They can also be printed with transparent windows in the design, which makes them more difficult to counterfeit.

After Brexit

To stimulate the economy in the wake of Brexit, the Bank of England took the unprecedented measure of launching a scheme to buy company bonds, as of 27 September 2016. With a budget of up to £10 billion, the corporate bond-buying programme is intended to drive down borrowing costs, encouraging businesses to invest, thereby boosting employment and economic growth.